

Harbourline Retail Limited
Annual Report 2025
For the financial year ended 30 June 2025 (FY25)

Harbourline Retail is a fictional Australian supermarket retailer created for this portfolio project. Every figure in this report is synthetic and describes no real company.

Letter from the Chair and Chief Executive

FY25 was a year of steady growth for Harbourline Retail. Sales revenue rose 5.6% to A\$138.6 million, compared with A\$131.2 million in FY24. Earnings before interest and tax (EBIT) increased to A\$6.9 million from A\$6.1 million, and net profit after tax (NPAT) was A\$4.3 million, up from A\$3.8 million.

Online channels continued to grow. Click and collect and home delivery together accounted for 28.1% of orders in FY25, up from 24.7% in FY24. Click and collect orders met the 2-hour picking standard 91% of the time.

The Board has declared a fully franked final dividend of 6.5 cents per share, bringing the full-year dividend to 11.0 cents per share (FY24: 10.0 cents).

Financial summary (A\$ million unless stated)

Metric	FY25	FY24
Sales revenue	138.6	131.2
Gross margin (%)	27.9	27.4
EBIT	6.9	6.1
Net profit after tax	4.3	3.8
Earnings per share (cents)	17.2	15.2
Capital expenditure	8.1	7.4
Net debt	12.6	14.9

Gross margin improved by 50 basis points, mainly from lower shrink and a better mix of fresh categories. Capital expenditure funded two store refurbishments and a new warehouse management system at the Sydney distribution centre.

Operations review

Store network: Harbourline operated 12 stores at 30 June 2025, in New South Wales, Victoria, Queensland, South Australia, the Australian Capital Territory, and Tasmania. Braddon (ACT) opened in FY22 and remains the newest store.

Loyalty: Harbourline Rewards reached 412,000 active members, up from 368,000 a year earlier. Members generated 57% of sales revenue.

Inventory: the out-of-stock rate averaged 2.4% across the year, inside the 3% target set in the replenishment policy. Shrink was 1.2% of sales, down from 1.4% in FY24.

People: Harbourline employed 1,640 team members at year end, 38% of them full time.

Outlook and risks

In FY26 Harbourline plans to open two new stores in south-east Queensland and to extend same-day home delivery to all metropolitan stores. Planned capital expenditure is A\$9.5 million.

Key risks are cost-of-living pressure on customer spending, wage and energy cost inflation, supply chain disruption, and cyber security. The Board reviews each risk quarterly against the risk appetite statement.